Employee Handbooks and Policies

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§1 Introduction

Almost from the very beginning each company intentionally and unknowingly develops a set of policies and practices relating to its relationship with its employees. Unwritten rules and customs evolve regarding employee conduct, and these are eventually supplemented by formally established policies, such as published rules and procedures regarding working hours and recording work time, overtime, holidays and vacations, pay and benefits, disciplinary actions and termination. Since employees are obviously essential to any business, companies typically try and avoid misunderstanding by laying out the rules of their relationship with their employees through personnel handbooks, which are also called "employee handbooks", that supplements verbal explanations of company rules and policies given to new employees upon orientation; provides a ready reference on rules and procedures for all employees, even those who have been with a the company for a significant amount of time; and ensures that all employees receive essential information regarding the company and the respective rights and obligations of the company and its employees in a complete, accurate, and standardized form. In addition, a properly written employee handbook can reduce disputes and help protect employers from costly litigation, build a sense of company identity among employees, and showcase reasons why the company should be considered a good place to work.

Employers are not required to have a handbook. However, if they do, they're generally free to pick the rules to include in their handbook. Typically, personnel handbooks describe the employer-employee relationship, from hiring until termination; tell employees what is expected from them; and tell employees what they may expect from the employer. If employers adopt a handbook, they must train their managers about their rules and the procedures for implementing those rules. Unless the policies are enforced as written, they are just "good intentions." Besides handbooks, some employers also have a written personnel policy manual. Policy manuals are usually designed only for managers and used to guide them about implementing company policies. In contrast, personnel handbooks are usually given to all employees.

When creating and administering employee handbooks and policies it is important to understand the relevant legal considerations, strategies for formatting and contents, equal opportunity policies, pay and benefits policies, methods for laying out standards of conduct, time off and leave policies, "on the job" policies, safety and health policies and Internet use and social networking policies. In order for employee handbooks and policies to be effective, the drafter must have a good working knowledge of the fundamental legal principles associated with the employer-employee relationship and law and practice in specific areas such as recruitment and hiring, discipline and termination, and discrimination and harassment. In addition, it is not sufficient to write and distribute handbooks and policies; the contents of those documents must have practical and "real

world" meaning in the workplace and should be followed by executives, managers and other supervisors. Plans should always be made to educate and train anyone in a supervisory role about their responsibilities under employee handbooks and policies.

While employee handbooks and policies can, and often do, relate to issues other than laws and regulations, such as organizational culture and communications among employees, most of the documents are indeed written to support compliance with equal employment opportunity laws, laws and cases pertaining to sexual harassment, the Americans with Disabilities Act, the Occupational Safety and Health Act ("OSHA"), wage and hour laws, the National Labor Relations Act and recordkeeping requirements. Other legal issues of concern in the workplace context include prevention of workplace violence, protecting the principle of "at will" employment and workplace privacy and confidentiality. All of the information in employee handbooks and policies must conform to the law and be presented in a way that satisfies any specific legal requirements as to form and/or manner of distribution. Reference should made to the language included in statutes regarding the contents of notices that must be provided to employees regarding various aspects of the employment relationship and a review of relevant cases should also be made since judges are often asked to comment on the sufficiency of employer policies and procedures when deciding employment-related claims.

While there is no standard form of employee handbook, and employers have substantial latitude in selecting the policies and rules that will be included in their handbooks, the provisions that are included in the handbook must comply with the current version of applicable laws and address all of the issues that are relevant to the company's specific line of business. Employment laws and regulations, as well as general norms and expectations regarding the workplace environment, are constantly changing and this means that employers must continuously review their handbooks to make sure they are up to date and, if necessary, make appropriate modifications. As discussed elsewhere in this chapter, changes to employee handbooks should be done through a careful and formal process and records of all changes should be maintained in the company's files.

As noted above, employers are not required to have an employment handbook and the decision as to whether or not to have one should be made after considering various advantages and disadvantages. First of all, employers should not create a handbook unless they are committed to writing it properly and supporting it through training and leadership from the top of the organization. A poorly written handbook is arguably worse than having no handbook at all since it can only lead to problems that result in unnecessary expense for the company and undermining of employee morale. Employees that do use well-written employee handbooks will have employees who sense that the employer is fair and treats all employees equally, that know what is expected from them and what they should expect from the employer, and that will be less likely to assert that they were unaware of workplace rules and their legal obligations. Employee handbooks are an opportunity for employers to showcase their benefit package and explain company policies to employees in a clear and concise manner that will hopefully reduce misunderstandings and provide both the employer and employees with a benchmark from

which disciplinary actions can be taken and objective decisions can be made about interpretations of the policies.

However, employee handbooks will raise serious issues for the company if the handbook contains rules that are confusing or ambiguous, implies that employees intended to be "at will" have some form of job security, or fails to reserve the right to discipline or terminate employees or modify the handbook at any time. In addition, of course, the value of an employee handbook depends upon company managers following the rules that have been laid out in the handbook. For example, if violations of company policies have been ignored by managers, most courts will probably determine that the policy has been waived and find that the employee was unjustly disciplined or dismissed unless the policy is formally "reinstated" by a firm and clear warning. In addition, if policies are applied in a discriminatory manner by company managers this will also result in adverse legal results to the employer.

Another thing to remember is that covering an issue in the employee handbook does not relieve companies from complying with the technical "notice" requirements included in various federal and state laws and regulations. For example, a company may be required to post notices that it does not discriminate against anyone on the basis of minority status or gender, notices that it complies with OSHA, notices that it pays minimum wages and complies with the federal Fair Labor Standards Act, etc.

§2 Legal considerations

Many federal and state laws regulate employment practices and prohibit discrimination on the basis of, among other things, sex, age, race, color, marital status, national origin, religion or disabilities. These antidiscrimination laws, including the Title VII of the Civil Rights Act of 1964, the Equal Pay Act, the Age Discrimination in Employment Act, and the Americans with Disabilities Act apply to almost every aspect of the employer-employee relationship, including hiring, compensation, promotions, work assignments and working conditions. In addition, working conditions are regulated by wage and hour laws, such as the federal Fair Labor Standards Act; workplace safety regulations; and workers' compensation laws. Finally, aspects of the employment relationship may be impacted by common law rules regarding formation of the employment relationship and wrongful termination; laws regulating labor-management relations; laws regulating family and medical leaves; federal immigration laws; common law rules and statutes regarding ownership and use of inventions and trade secrets and noncompetition and non-solicitation agreements and statutes governing administration of retirement and pension plans and continuation of health insurance benefits.

§3 Advantages and disadvantages of employee handbooks

With exception of notices and other types of communications specifically required by applicable laws and regulations, companies are generally not required to have a formal employee handbook. Accordingly, the decision to create and distribute a handbook along with related policies and procedures is driven by business considerations and it is

important for organizational leaders to carefully consider the advantages and disadvantages of a handbook before investing the financial resources, time and effort to introduce it into the workplace.

Researchers, legal advisors and other consultants have suggested a variety of reasons that companies should have some form of employee handbook:

- It helps to create a uniform set of expectations among everyone in the workplace with respect to behavior, workplace ethics and communications with fellow workers at all levels in the organization and provides guidance as to the consequences of violating the rules set out in the handbook. The anticipated impact is a workplace in which disputes are minimized and employees are comfortable that they will be treated fairly.
- Having a single place where anyone can find the relevant rules and procedures for commonplace issues and activities save times for employees and their supervisors and makes it easier to quickly orient new employees to the organizational "rules of the road" with respect to fundamental subjects such as work schedules, compensation and benefits, salary and performance reviews, training, discipline and termination, personal appearance and demeanor, "on the job" conduct", leaves, vacations and holidays.
- The handbook can and should serve as a guide for members of the HR department and a valuable reference for supervisors as they engage with employees on a day-to-day basis. Supervisors should have a good working knowledge of the information in the handbook so that they can answer questions from employees without needing to consult the handbook and quickly refer employees to the handbook for more details.
- The handbook can obviously be a valuable tool in the organization's overall compliance programs and activities with respect to federal and state employment laws. The handbook can clearly spell out the organization's duties under such laws and the steps that the organization is committed to taking in order to comply.
- The handbook is opportunity to illustrate and reinforce the norms and values that organizational leaders have selected as core elements of the organizational culture. In addition, consistent with the desire to make sure that employees are comfortable coming to work, the handbook should clearly spell out the organization's commitment to non-discrimination and preventing actions that amount to harassment.
- The handbook is a good place to talk about things that may be too sensitive for employees to bring up with their supervisors. A good example is a handbook provision that lays out grievance procedures that employees can follow if they have a complaint about their work situation that they feel is not being addressed appropriately. The handbook should also cover procedures for reporting violations of the rules in the handbook or other activities observed by employees that appear to raise legal and/or ethical concerns.
- The handbook is a good way to explicitly preserve the organization's rights under the "at will" employment doctrine by making it clear that both parties to the employment relationship have the unconditional right to terminate the relationship at any time for any reason and with or without cause. In order to achieve this objective, however, the organization must carefully draft the handbook to avoid language that might be

construed as a guarantee of employment or a promise that the organization will not terminate the relationship unless and until certain steps have been taken.

Overall, a well-drafted employee handbook facilitates clear communication by laying out the company's policies and procedures for everyone in the workplace, including managers and others acting in supervisorial roles, and makes it easier for supervisors to administer the policies fairly and consistently. Consistency and transparency is important since it reduces uncertainty and provides greater protection for the organization against claims of discrimination or unlawful termination by employees. However, these benefits are only available if the handbook is carefully drafted, with appropriate and legal disclaimers, and supervisors adhere to the stated policies and procedures. Some organizations find that employee handbooks lead to excessive rigidity among managers—managers stick to the "letter of the law" in the handbooks—and care must be taken to strike an appropriate balance between the words in the handbook and common sense.

As noted above, there is no standard set of rules that is universally applied when selecting the topics that will be covered in the handbook and choices should be made with an eye toward complying with applicable laws and making the best use of the handbook's value as a communications and standards setting tool and as an exemplar of the company's organizational culture. The most popular topics for handbooks include the following:

- Equal Employment Opportunity Statements and Anti-Discrimination Policies: In general, all companies are subject to a variety of federal, state and local laws relating to equal opportunities in the employment relationship including laws and regulations specifically proscribing activities that are deemed to be discriminatory or harassment. Handbook provisions on this topic not only restate black letter legal requirements but also provide comfort and assurances to employees that they can expect to be part of a hospitable work environment that welcomes and supports diversity.
- Compensation Policies and Practices: While compensation policies and practices are generally covered during the orientation for new employees, it is difficult to cover all of the details and the handbook is a good place to lay out information on subjects that always interest employees such as pay periods, time keeping records, breaks, salaries and bonuses, overtime opportunities and payments and performance reviews. Reference should be made to applicable wage and hour laws.
- Work Schedules: As is the case with compensation policies and practices, the handbook is the place to supplement orientation information on the organization's expectations and practices regarding working hours and schedules, attendance and punctuality, reporting absences, alternative ("flexible") work schedules and working offsite (i.e., "telecommuting").
- Employee Benefits: Details of employee benefit programs, including eligibility requirements, should be covered in the handbook to comply with notice requirements in applicable laws and showcase the benefits available to employees as a result of their choice to work with the company.
- Standards of Conduct: While expectations about how employees will conduct themselves during the course of the employment relationship are not strictly legal matters, provisions relating to appearance, ethics and similar matters can be

extremely useful in establishing the standards and norms which the organization wishes to promote.

- Safety and Security: Many organizations include at least basic provisions in their handbook relating to safety and security to provide comfort to employees and disseminate information on what employees are expected to do in case of an emergency. Handbook provisions should cover reporting procedures for injuries, accidents and potential safety hazards and procedures that employees can follow to make suggestions on how the organization can make the workplace more safe and secure. When writing provisions relating to safety reference should be made to applicable laws such the federal Occupational Safety and Health Act.

Other topics that are normally covered in even the most basic employee handbook include computer and software usage, electronic communications, protection of confidential information, discipline and termination procedures and procedures to be followed by employees requesting some form of leave of absence.

§4 Design and format

Employment-related policies and procedures can be compiled and distributed in a number of different ways. For example, once a company reaches a certain size, such as at least 20 employees, it is common to find that a formal personnel handbook is made available in both paper and electronic formats. Alternatively, the company may simply collect the most important procedures and put them in the form of a memorandum or hand-out that is delivered to employees at the time that they join the company and then periodically thereafter. A short-form document might also be posted on the company's internal intranet for easy viewing and revision. The design of the employee handbook can present a positive impression of the company and insure that the handbook holds the reader's attention. If possible, an effort should be made to include graphics, such as photographs, drawings or charts, to convey information about the company's history, current activities and organizational structure.

The key choice with regard to formatting is whether to use a loose-leaf binder or a bound book. While loose-leaf binders are expensive initially, due to the need to purchase a new binder whenever another handbook is issued, they have the advantage of being easily updatable to reflect changes in policy or law without having to replace the entire handbook. In order to be sure that employees do not lose updated pages it is employer to require that they acknowledge receive of supplementary pages. Bound versions can be expensive to create and the obvious problem with them is that they are not easy to modify. Changes and supplements to bound versions must be made in the form memoranda and other supplements which can easily be lost by employees.

When it comes to actually drafting an employee handbook, it is important to keep in mind that a long handbook that goes unread doesn't have much value. Make it only as long as necessary to accomplish its purpose. Also, write it in clear, everyday English, or whatever language is appropriate for the workforce. Stay away from legalese whenever possible, even when drafting policies on matters regulated by law. Companies often have

their human resources professionals prepare the initial draft of the handbook and then pass it to their lawyer for "final review". This is fine since it increases the likelihood that the content will be written in a voice that is appropriate for the particular company and its unique organizational culture; however, the attorney also needs to make sure that the client's draft covers all the important legal points applicable to the company's operational activities and that any statements of "the law" are current and correct.

Other questions to consider with respect to the style of the employee handbook are whether the handbook will be used only at company headquarters or at all company locations; will one master handbook suffice for all plants and office locations or should customized versions be prepared for each plant or location; is it necessary to have separate editions of the handbook for different types or workers; and what balance should be struck between content relevant to all employees and content that is focused on new employees. In addition, if a significant segment of the workforce has a native language other than English, consideration should be given to having the handbook translated into that language in order to enhance readability and understanding and improve employee relations. However, any translation should be done carefully to retain the original goals and intent of the employer and language should be included that makes it clear that it is the English-language version of the handbook that will control in the event of any dispute regarding the contents or interpretation of the handbook.

One last thing to consider before including information in the handbook is how often it will change and how difficult it will be to incorporate changes into the handbook. The difficulty of making changes depends on the format used for compiling the policies and procedures: as discussed above, bound volumes are more difficult and costly to change than handbooks that are put together using a loose-leaf format. Examples of information that may need to be omitted because it changes too often include names and titles of executives, detailed floor plans, telephone numbers of key people, and detailed schedules of departmental lunch hours and breaks.

§5 Contents

There are no hard and fast rules regarding the subjects that companies must cover in their employee handbooks and/or employment-related policies and procedures; however, it is generally best to be sure that each of the following topics have been addressed.

- Disclaimer of guarantee of employment and statement of "at will" employment status;
- Equal employment opportunity statement and specific policies for each of the key federal laws creating protected classes of employees;
- Policies and procedures regarding "time off" (i.e., lunch hour and other breaks, holidays, personal days, vacation policy and pay, leaves (e.g., personal, family, bereavement, educational, military service and reemployment rights), jury duty and election time off)
- Policies and procedures regarding "job-related issues" (i.e., performance evaluations, discipline and termination and other general employment practices);

- Rules and standards of workplace conduct (e.g., attendance and punctuality, protection of confidential information, visitor rules and access to premises, personal appearance and dress, smoking, gifts and gratuities, insubordination, harassment and substance abuse);
- Policies and procedures regarding compensation (i.e., pay computation, payday dates, pay deductions, bonuses, overtime pay, meal allowances, direct deposit and check cashing)
- and benefits (e.g., insurance, pension and tuition reimbursement benefits, including eligibility requirements);
- Policies and procedures regarding safety and health (i.e., reporting accidents, rules concerning accidents and physical examinations); and
- Policies regarding use of technology (i.e., Internet use and e-communications).

Special requirements with respect to public companies must also be taken into account, although such policies might also be adapted for privately held businesses. For example, under the Sarbanes-Oxley Act of 2002, public companies must adopt "whistleblower" policies that set out detailed policies and procedures regarding receipt, retention and evaluation of reports received by employees regarding instances of financial fraud within the company. Among other things, such companies must avoid actions that might be deemed to be retaliation against reporting employees lest the company be required to pay compensatory damages to such employees.

It should also not be forgotten that a public company's whistleblower policies and procedures must take into account the potential impact of Section 21F of the Securities Exchange Act of 1934 entitled "Securities Whistleblower Incentives and Protection", which was adopted as part of the Dodd-Frank Wall Street Reform and Consumer Protection Act ("Dodd-Frank"). Among other things, Dodd-Frank established a whistleblower program that requires the Securities and Exchange Commission ("SEC") to pay an award, under regulations prescribed by the SEC and subject to certain limitations, to eligible whistleblowers who voluntarily provide the SEC with "original information" derived from the independent knowledge or analysis of the whistleblower about a violation of the federal securities laws that leads to the successful enforcement of a covered judicial or administrative action, or a related action. Dodd-Frank provides for bounties of 10% to 30% of the monetary sanctions exceeding $1 million resulting from an SEC enforcement action, or several enforcement actions rising out of the same set of facts. Dodd-Frank also prohibits retaliation by employers against individuals who provide the SEC with information about possible securities violations. Public companies are also required to implement business ethics policies and companies engaged in international business activities, both public and private, need to be sure policies are in place covering export controls, import and customs laws, anti-boycott laws and compliance with domestic and foreign anti-bribery laws.

It is also recommended that companies supplement the "legal information" in their employee handbooks with a "welcome message" from the company's chief executive officer or president, which often includes a brief summary of the company's history and a description of the company's mission and purpose; information about various aspects of

the company's operational activities (e.g., functions, product line, organization (possibly including a flow chart), size and background); a description of the purpose of the employee handbook and the company's employee relations philosophy; and a list of supplemental publications available from the company or public sources such as the state employee relations office on various topics covered in the handbook or otherwise relevant to the employment relationship.

Since each new employee should be given a copy of the employee handbook upon commencement of employment, the handbook should also include a "first-day checklist" with entries for the employee's work address, phone number, department, job title, supervisor's name, starting pay, pay periods, and shifts. Special information for new employees might also cover employee qualifications, equal employment opportunity policy, union affiliation, hiring of employee's relatives, probationary period (if any), part-time and temporary employees, working hours, procedures for maintaining time records and flextime. If the company has a formal orientation program for new employees, a general overview of the topics to be covered in the program should be provided along with a summary of the format of the program (e.g., how long the program will be, how topics will be presented and who will typically be involved in making the presentations). A specific schedule for each new employee's orientation should be given to the new employee when he or she arrives for the first day of work.

The handbook should include a description of various internal communication channels available to employees such as bulletin boards, booklets, annual reports, newspapers and magazines, memos or bulletins, audiovisual media, meetings and conferences and letters. The handbook should also include formal procedures and rules for communications between employees and supervisors and discuss any formal processes that have been established for employees to bring grievances to the attention of the management personnel.

Some companies elect to create a separate section in their employee handbooks that focuses on various aspects of career development for their employees. Such a section would cover topics such as wages and salaries, job evaluation and pay structure, merit and length-of-service pay increases, incentive plans, differentials, employee and supervisory training, promotions, transfers, career counseling and company assistance for participation in external education and training programs. Emphasis on career development is obviously a strong recruiting and retention strategy; however, as with many areas of the employee handbook it is important to be sure that employees understand that there is no guarantee of permanent employment regardless of the level of investment that the company makes in the skills of its employees.

Finally, the employee handbook should specify the effective date for the handbook and include a formal disclaimer of the handbook being a contract of employment and an acknowledgement, which should be confirmed in writing separately by the employee, of "at-will" status and the management's right to alter provisions in the handbook and related policies. See Table 1 for a comprehensive checklist of issues and topics to be covered in an employee handbook.

Two basic methods are commonly used for organizing the policies and other material included in employee handbooks: ABC indexing and grouping of homogenous policies. As the name implies, ABC indexing presents the policy statement in alphabetical order. While this makes it fairly easy for employees to quickly find information about a discrete topic or issue, there is no continuity in the information presented and employees may have to skip to several different places in the handbook to get a complete answer to their questions. With the grouping-of-homogeneous-policies method, the handbook is divided into sections, each of which is composed of related policy topics (e.g., employment policies, compensation-related policies, time-off benefits, medical and other benefits, employee conduct, internal communications, career development and termination). Assuming that each of the sections include all of the necessary information, the grouping approach allows readers to go to a particular section and see all the information that they need organized in a consistent and hopefully readable fashion. In general, the grouping method is preferred and recommended; however, even when this approach is taken it can be useful to include an alphabetical index with page numbers to provide further help to readers in navigating the handbook, particularly since many readers may not know which section should be selected for learning about a particular topic or question.

Numerous examples of strategies for collecting and disseminating employment-related policies are available online and in legal and HR treatises. The decision as to what approach to take depends upon the stage of the company's development—most new companies tend to have shorter handbooks or simply collect the most important procedures and put them in the form of a memorandum or hand-out that is delivered to employees at the time that they join the company and then periodically thereafter; the types of activities engaged in by the company's employees; the specific laws and regulations applicable to the company's business; the company's prior experience with responding to concerns and questions raised by employees; and the size of the company's HR department, since that department is primarily responsible for overseeing administration of the policies included in the handbook. Organizational culture also plays a role in how communications relating to the employee's relationship to the company are presented.

Typically, employee handbooks describe the employer-employee relationship, from hiring until termination. Companies often focus on topics that are of greatest interest and concern to employees, such as pay and benefits policies, including leaves of absence and insurance benefits. However, any handbook should always state the company's general policies against discrimination in the workplace and in employment decisions. While some handbooks include fairly detailed descriptions of various benefits plans in the main body of the text, it is common to include additional summaries of the plans as exhibits to the handbook. A short-form document might be created and posted on the company's internal intranet for easy viewing and revision. Companies using this approach typically stick to basic topics such as employment, including an equal opportunity statement; wage and salary administration; hours and working conditions; and employee benefits including insurance and leaves of absence. Companies often take a balanced approach to creating the contents for their employee handbooks by making sure that the handbook

includes at least basic guidance in a wide range of areas including pay practices, employee benefit plans, time off, overtime, personnel records and performance reviews, equal employment opportunities and prohibitions on harassment, "on the job" conduct (e.g., attendance, drugs and alcohol, smoking, solicitation and distributions and inspections), workplace safety and violence and disciplinary actions and termination of employment.

The information in employee handbooks is intended primarily for the company's salaried employees; however, many of the rules will generally also apply to managers and executives, often by incorporating the rules set out in the handbook into any individual employment contracts that the company may enter into with managers and executives. If employers adopt a handbook, they must train their managers about their rules and the procedures for implementing those rules. Unless the policies are enforced as written, they are just "good intentions." Besides handbooks, some employers also have a written personnel policy manual. Policy manuals are usually designed only for managers and used to guide them about implementing company policies. In contrast, employee handbooks are usually given to all employees.

Table 1
Checklist of Issues and Topics to be Covered in Employee Handbook

Introduction

□ introduction and welcome message
□ "at-will" disclaimer
□ handbook purpose
□ company history
□ employee relations philosophy
□ sustainability
□ company composition and organization
□ supplementary publications

Employment Policies

□ employee qualifications
□ equal employment opportunity policy
□ medical examinations
□ job posting
□ union affiliation
□ orientation procedure
□ hiring of employee's relatives
□ probationary period
□ part-time and temporary employees
□ time records
□ flextime
□ personnel files
□ nondiscrimination against and accommodation of individuals with disabilities

Time Off Benefits

□ lunch hour
□ coffee breaks

□ holidays
□ personal days and sick days
□ vacation policy
□ vacation pay
□ illness during vacation
□ carryover vacation days
□ medical leaves of absence (including pregnancy disability leave)
□ personal leave
□ family leave
□ bereavement leave
□ educational leave
□ military service
□ reemployment rights
□ jury and witness duty leave
□ election time off
□ salary continuation

Compensation Policies

□ classifications of employment
□ working hours
□ recording work hours
□ pay computation
□ payday dates
□ pay deductions
□ bonuses
□ overtime pay
□ supper money/meal allowance
□ direct deposit
□ check cashing
□ performance reviews

Group Health and Related Benefits

□ profit sharing
□ pension plans
□ 401(k) plan
□ group life insurance
□ group health insurance
□ group accident and sickness insurance
□ sick leave
□ scholarships, tuition aid and other educational assistance
□ dental plan
□ vision care plan
□ short-term disability
□ long-term disability
□ savings plan
□ business travel accident plan
□ stock option plan
□ child care
□ preretirement planning
□ employee loans
□ employee discounts
□ credit union
□ moving expenses
□ recreation programs

□ food services
□ employee assistance programs
□ medical plan
□ relocation assistance
□ employment referral bonuses

Safety and Health

□ reporting accidents
□ rules concerning accidents
□ physical examinations
□ workplace violence

Employee Conduct

□ attendance
□ punctuality, tardiness and absenteeism
□ electronic and telephonic communications
□ confidentiality of information
□ visitor rules
□ access to premises
□ workplace searches
□ smoking
□ disciplinary procedures
□ garnishment
□ moonlighting
□ off-the-job conduct
□ personal appearance and demeanor
□ employee records
□ gifts and gratuities
□ customer service
□ insubordination
□ sexual harassment
□ substance abuse ("drug-free workplace")
□ guidelines for appropriate conduct
□ complaint resolution procedure
□ solicitations/distribution of literature
□ taping/eavesdropping on conversations

Internal Communication

□ bulletin board
□ booklets
□ annual reports
□ newspapers and magazines
□ memos or bulletins
□ employee committees
□ audiovisual media
□ meetings and conferences
□ letters
□ grievance procedure
□ employee-supervisor communication

Career Development

□ wages and salaries

□ job evaluation and pay structure
□ merit and length-of-service pay increases
□ incentive plans
□ differentials
□ employee training
□ supervisory training
□ promotions
□ career counseling
□ transfers

Termination

□ layoffs
□ discharge
□ resignation
□ severance pay
□ exit interviews
□ outplacement

Acknowledgments

□ at-will status
□ date handbook takes effect
□ management's right to alter provisions
□ disclaimer of employment contract

§6 Standard employment policies

The employee handbook should incorporate all of the company employment policies and procedures, either by setting the policy out in its entirety in the handbook or including a summary of the policy in the handbook with information on how to access the entire policy. Each company is different and the range of policies will depend upon various factors such as the company's size and business activities; however, the following list is illustrative of the "standard" employment policies and procedures that should always be considered:

Probationary period. Many employees hire new employees on a "probationary" basis with the understanding on both sides that continuation of employment will depend on satisfactory completion of a "probationary period", which typically runs from 30 to 90 days, during which the candidate will be evaluated by his or her supervisor. The details of any probationary hiring program should be laid out in a formal policy statement. It should be noted, however, that some employers do not follow this practice due to concerns that the employee (or a court) may draw the inference that continued employment beyond that period is permanent, rather than at-will. In a probationary period is used, the policy should make it clear that once the period is ended the relationship becomes "regular", rather than "permanent", employment.

Hours of work and overtime policy. Companies should set the expected hours of work and the specific policies and procedures relating to overtime work and pay. The policies should discussed the legal requirements for overtime pay and the conditions that must be

satisfied before an employee can assert a claim for overtime pay (e.g., formal request to supervisors before engaging in any work activities outside of standard hours of work).

Wage and performance reviews. Policies and procedures should be created regarding wages and performance reviews so that employees have a clear understanding of how and when they will be reviewed and how the results of the review will be reported and used in setting compensation. Such a policy can be a useful tool for minimizing the risk of lawsuits based on discrimination; however, it is important that managers and supervisors follow the policies and that actual compensation decisions reflect adherence to the policy.

Family and medical leave policies. Employers should have family and medical leave policies that explain, and conform to, the requirements of both federal and state laws. Among other things, the policies should include instructions that employees should follow in order to claim their benefits and request time off. The policies should address all of the different situations that trigger legal rights and obligations and should define and describe key terms such as "serious illness" and "family member".

Leaves of absence. In addition to family and medical leaves, employees should have policies and procedures covering other leaves of absence ("LOAs") for various reasons such as personal (e.g., illness, bereavement etc.), disability and military. The policies should include the procedures to be followed for requesting an LOA, the requirements for approval of any LOA and the time limits imposed on any LOA. In general, employers should require that all LOA requests and approvals be made in writing to the extent practicable.

Absence reporting requirements. Policies regarding absence reporting should require employees to provide an acceptable explanation of any absence of work that has not been previously approved by the employee's supervisor and the policy should also provide that that after a specified number of days of absence without acceptable explanation an employee will be deemed to have voluntarily resigned.

Personnel records. Employees should be informed of the contents of the personnel records file and their rights with respect to inspecting those records. In addition, employees should be reminded that they are obligated to notify their supervisor or the HR director of any change in name, address, telephone number, or person to notify in case of accident or illness.

Workplace safety policies. Employers should develop and publish policies and procedures relating to workplace safety, particularly in those situations where employers are engaged in activities that are covered by the federal Occupational Safety and Health Act ("OSHA").

Workplace conduct. An employee handbook is a good opportunity for employers to set out their expectations of employees with respect to their conduct while at the workplace or otherwise representing the company. Conduct rules and standards are intended to create an environment in which all employees treat one another with respect and are

importance foundation for the company's overall organizational culture. Topics and activities that might be covered include attendance and punctuality, protection of confidential information, visitor rules, access to premises, smoking, disciplinary procedures, garnishment, moonlighting, off-the-job conduct, personal appearance and dress, gifts and gratuities, customer service, insubordination, harassment and substance abuse.

Progressive discipline policies. Many employers implement a "progressive discipline" system allows employees to measure the seriousness of any warnings received and creates a record of improper conduct for the employer. Details of any such system should be carefully explained and it is important for employers to make it clear that the system may or may not be used in case where the problem is a result of either poor performance or misconduct of the employee (i.e., an employee found to have engaged in gross misconduct will be subject to immediate termination regardless of whether all the steps in the progressive procedure have been completed).

At-will employment and termination events. Employee handbooks should include a separate section, prominently placed, that makes it clear to employees that their employment is at-will and that they may be terminated with or without cause and with or without notice. Some employers include examples of prohibited activities that will result in immediate dismissal in their employee handbooks; however, if this is done language should be inserted that makes it clear that the examples are not intended to be a complete list of all violations leading to discharge. Various issues and procedures relating to termination of employment, regardless of the reason for termination, should also be covered such as layoffs, discharge, resignation, severance pay, exit interviews and outplacement.

Benefits policies and procedures. Common policies and procedure relating to benefits generally cover paid time off (i.e., holidays and vacations), profit sharing and pension plans, insurance coverage (e.g., health, life, disability, accident and sickness, dental and vision care), educational assistance (i.e., scholarships and tuition aid), savings plans, stock option plans, child care, pre-retirement planning, employee loans, employee discounts, credit union, moving and relocation expenses, recreation programs, food services, employee assistance programs, use of company vehicles, employment referral bonuses and education and training programs. A list of company holidays and a description of eligibility criteria for holiday pay should be included and policies regarding vacations should cover years of service requirements for accrual of paid vacation and company rules regarding carryover of accrued vacation days from year-to-year.

§7 Disclaimers, reservations of rights and cautions

The typical employment arrangement between an employer and its employees is "at will", which means that either the employer or the employee may terminate the relationship at any time for any reason. This differs from a contractual relationship that usually is for a specific term and can be terminated only for cause as defined in the

contract. However, the at will employment doctrine has eroded considerably over the years as employees have challenged employers' rights to terminate them. In these cases, employees often attempt to declare company policies, statements, handbooks, or memoranda as setting forth either express or implied "employment contracts." In defense, employers have followed the advice of lawyers by including disclaimers in their company manuals negating any intent to create a contract for indefinite employment or an obligation upon the employer to follow progressive disciplinary procedures before terminating the employee. These disclaimers are generally accompanied by other provisions that specifically reserve certain rights to company management with respect to the handbook and policies.

If it is intended that the employees' employment relationship with the company be "at-will", the handbook must say so in unequivocal and prominent language that also makes it clear that the employer reserves the right to terminate employees at any time and for any reason or for no reason at all, with or without notice. If a company's operations are covered by a collective bargaining agreement, its handbook can contain work rules that are permissible under a "management rights" clause. This clause entitles the employer to all functions of management that are not specifically limited by the agreement.

A disclaimer statement in the employee handbook is an absolute necessity to protect the rights of employers. Employee handbooks are essentially a set of rules that employees are expected to follow and procedures the employer will follow in disciplining employees who break the rules. The concern from a legal perspective is that these listings of rules and procedures can create an expectation that employees will not be fired if they do not break the rules. In order to rebut these expectations, disclaimers must be included in the handbook to allow employers to deviate from the procedures and terminate employees when the circumstances warrant even if all of the steps outlined in the handbook have not been completed..

Not surprisingly, there has been a substantial amount of litigation over the enforceability of disclaimers and courts analyzing employee manuals or policy statements generally examine three factors when determining whether there has been a modification of the at-will employment relationship: (1) whether the *language in the manual* or policy statement contains a promise sufficiently clear that an employee would reasonably believe that an offer has been made; (2) whether the *statement has been distributed* to the employee in such a manner that the employee is aware of its contents and reasonably believes it to be an offer (i.e., the disclaimer must be "conspicuous"); and (3) whether the *employee accepts the offer* by commencing or continuing work after learning of the statement.

In order for a disclaimer to be effective and upheld by the courts it must be clear and unambiguous and conspicuous. In order ensure that a disclaimer will be found to be "clear and unambiguous", the drafters of the handbook should remove legal jargon; avoid inconsistencies in what the disclaimer says and what the rest of the handbook says; and make sure the headings and context clearly describe, rather than obscure or minimize, what the disclaimer is. One common problem to avoid is stating that the employer *will*

follow certain disciplinary procedures while the disclaimer says the employer *may or may not* follow the disciplinary procedures before termination. The proper approach is to state that the employer *may* follow the procedures but that the employer reserves the right to terminate employees at any time and for any reason.

As for making a disclaimer "conspicuous", the key is to make sure that it is presented in a manner that calls attention to it and which cannot reasonably be ignored by employees or courts deciding whether or not it should have been clear to employees. Disclaimers should not be buried in other text and the preferred approach is to use a separate page for the disclaimer, or put a border around it to set it off from other text on the page; put a bold, capitalized heading at the top of the disclaimer; and put the disclaimer in type that is as big or bigger than other text in the handbook and surrounded by an eye-catching border. In addition, the disclaimer page should include a space for the employee to acknowledge that he or she has received the handbook and read the disclosure and that he or she understands that the handbook does not create any contractual right to employment or to any particular terms and conditions of employment.

Most disclaimers are used when the employment relationship begins to establish at-will employment and may be reiterated throughout the relationship as policies and handbooks are updated and amended. However, it should be noted that disclaimers may also be used to reinstate an employee's at-will status if that status, for some reason, has been lost. In such a situation, the employer can modify an existing employment contract that requires termination for cause only if it provides consideration to make the disclaimer effective. .

The pressure for clear and conspicuous disclaimers generally comes from the legal department or outside counsel assisting in the preparation of the employee handbook. The flashpoint in the drafting process often comes when assessing "feel good" language included in the handbook by the human resources ("HR") department to build a sense of loyalty and connection between the company and its employees. While the handbook can be a positive public relations tool, there must be a balance in the approach that is taken to avoid claims by terminated employees that language in the handbook amounted to a contract of permanent employment. This does mean, however, that the handbook needs to be laced with "legal jargon" and bold warnings; the key is for both HR professionals and lawyers to stick to the task of providing employees with a clear explanation of what they need to know about working for the company.

The need for legal review of the employee handbook and related policies before distribution makes it clear that the documents must be created carefully in order to serve as a clear communication tool to employee and avoid unintended legal problems. Several cautionary points should be kept in mind during the drafting process:

- Have a clear understanding of the recipients of the employee handbook including their primary concerns and questions and the applicability of other documents such as a collective bargaining agreement that will govern the rights of and relationships with union members. Some larger companies actually have two versions of employee handbook: one for managers and other supervisors and another for line employees.

- While a good deal of the content of the employee handbook is driven by legal principles and requirements, the language of the handbook should be clear, concise, easy to understand and devoid of unnecessary legalese.
- Use positive lead-in language, even when talking about difficult topics such as dismissal. Be careful, however, not to be so "friendly" as to imply that employees will have a job for life unless they are terminated for cause if that is not what is intended by the employer.
- Language in the handbook should be personalized, which means writing in the first personal and/or using possessive pronouns whenever possible. Use phrases such as "your company," "your job, and" "our policies"
- Fundamentally, an employee handbook becomes a "contract" between employer and employee and as with any contract the employer should not include promises to employees that it cannot keep or policies that the employer does not intend to enforce and apply uniformly and consistently with all employees.
- Scour the document to eliminate language that might create an inference of "permanent" or "lifetime" employment including provisions that provide the employees will only be terminated for good cause or that grounds for termination might be limited to a limited number of specific reasons. If the handbook discusses advancement based on satisfactory work, it is important to make it clear that there are no guarantees and that either side is free to terminate employment at their sole discretion for any reason. Illustrations of conduct or behavior that will lead to dismissal can be include; however, it should be made clear that the list is not all-inclusive and does not contain all possible reasons for termination.
- Make sure that the employee handbook will serve as a practical working document that meets the specific needs of the company, answers all the questions that employees generally ask and lays out in straightforward fashion all of the fundamental information that employees need to know about their relationship with the company. A continuous stream of questions or misunderstandings about a particular topic after the handbook has been distributed is a sign that perhaps changes are necessary in the coverage of that topic.

§8 Handbook preparation process

The process of preparing an employee handbook depends on the size of the company and the resources, human and otherwise, available for investment in the preparation process. Smaller companies, or companies without a formal HR department, generally assign a single person to develop and write the handbook. Other companies designate a coordinator for the handbook project and create a committee to support the coordinator and divide up the various tasks necessary to put the handbook together, distribute it among the workforce and ensure that adequate training is made available to managers and other supervisors. When a committee structure is used the group should be kept relatively small, generally no more than five people, and membership should include the top HR executive, one executive from each of the key operational functional groups within the company, the controller to handle tax and legal questions, and a representative from the company's communications or public relations department. A committee leader should have the final approval rights on major decisions relating to the handbook. While

all members can and should contribute to the content of the handbook, writing responsibility should be assigned to one person, typically the project coordinator. The committee must determine what policy statements will be included in the handbook; collect and analyze information on current organizational practices, including "unwritten" policies, procedures and expectations among employees; make recommendations to senior management about policy content, policy organization and handbook format; and must review the drafts of the handbook policy statements written by the project coordinator or by the coordinator's designees.

Whatever approach is taken, however, the persons involved in the handbook process should have the approval and support of management; access to the top executives of the company; access to relevant documents, memos and records; knowledge and understand of company operations; access to legal advisors for specialized topics outside of the expertise of committee members; and an ability to express ideas and prepare a handbook in a style and format that fits the organizational culture of the company. See Table 2 for a list of steps for managing and completing preparation of an employee handbook.

The drafting process should begin with a thorough review of formally established policies, such as published rules such as published rules and procedures regarding working hours and recording work time, overtime, holidays and vacations, pay and benefits, disciplinary actions and termination. In addition, however, attention needs to be made to identifying policies that may not be formally articulated but which may nonetheless be inferred from past practices, such as unwritten rules and customs covering such matters as employee conduct. Unwritten rules and customs are not necessarily all bad; however, by their nature they are subject to a high risk of inconsistency and lack of precision and it generally makes sense to address the topic formally while drafting the employee handbook in order to achieve better clarity and avoid misunderstandings.

Assuming that a committee has been formed to draft, review and finalize the policies that are to be included in the employee handbook, a process that goes something like the following is generally recommended:

- The committee meets to discuss and reach agreement on the contents of the handbook including the specific policies that will be included. The agreement should be formalized as a draft table of contents for the handbook.
- The project coordinator (or the coordinator's designees) drafts the policy statements agreed to by the committee.
- The policy drafts are distributed to each committee member for review and comment.
- Committee members return the policy drafts to the project coordinator, who reviews the members' comments and modifies the drafts.
- The second drafts of the policy statements are distributed to the committee members for further review. The second draft should be accompanied by a summary of the comments received on the first draft and an explanation from the coordinator as to how each of the comments was addressed in the second draft.
- After second drafts are returned to the project coordinator, the coordinator proceeds in the same way to prepare and review third drafts.

- As discussed below, the committee submits the revised draft to in-house or outside counsel to ensure that the policies comport with applicable law and, if necessary, to the company's public relations department or an outside professional writer to ensure that the policies are easily understood.
- The revised draft should also be circulated to a select group of first-line supervisors for input on how it is likely to be received by employees and how comfortable the supervisors feel about their role in administering the policies in the handbook on a day-to-day basis. First-line supervisors should receive training on the contents of the handbook before it is distributed once the policies have been approved by senior executives.
- The project coordinator prepares a final draft of the policies to submit to the policy committee members and to senior executives with approval authority.
- Upon receiving approval, the project coordinator prepares the policy statements in final form for inclusion in the employee handbook.

As noted above, while the HR department and/or interdepartmental drafting committee may take the lead in preparing the employee handbook and related policies and procedures, in-house or outside counsel should be asked to provide input on contents. When this occurs, there are a few basic steps that counsel should take. First, the attorney should gather all existing memoranda and other written policies on the terms and conditions of employment and also determine whether there are any "unwritten" policies or procedures that are commonly understood and followed among the workforce. Second, the attorney needs to know how many employees there are, as well as where the company is operating, in order to determine which laws apply to the company. Third, the attorney should meet with the company's managers, including human resources, payroll, and benefits administration, to discuss the need for any new policies or the potential need for policies in the future. Finally, the attorney should review all existing policies for compliance and to make recommendations for changes and prepare a list of those subjects that the attorney thinks should be covered by new policies.

When reviewing an existing policy, or preparing a new one, reference should be made to examples from other companies that are known to be well represented on labor and employment matters. However, simply copying what other companies have done should be avoided since it is generally difficult to tell how current their language is or whether the language was drafted to take into account circumstances specific to the other company.

Table 2
Steps for Managing and Completing Preparation of an Employee Handbook

The following is a suggesting ordering of the steps that should be taken for managing and completing the preparation and distribution of an employee handbook:

- Designate a coordinator for the handbook project and create a committee to support the coordinator and divide up the various tasks necessary to put the handbook together, distribute it among the workforce and ensure that adequate training is made available to managers and other supervisors.
- Ensure that the persons involved in the handbook preparation process have the approval and support of management; access to the top executives of the company; access to relevant documents, memos and

records; knowledge and understand of company operations; access to legal advisors for specialized topics outside of the expertise of committee members; and an ability to express ideas and prepare a handbook in a style and format that fits the organizational culture of the company.

- Conduct a thorough review of formally established policies, such as published rules such as published rules and procedures regarding working hours and recording work time, overtime, holidays and vacations, pay and benefits, disciplinary actions and termination.
- Identify policies that may not be formally articulated but which may nonetheless be inferred from past practices, such as unwritten rules and customs covering such matters as employee conduct.
- The committee should meet to discuss and reach agreement on the contents of the handbook including the specific policies that will be included and the agreement should be formalized as a draft table of contents for the handbook.
- The project coordinator (or the coordinator's designees) should draft the policy statements agreed to by the committee and the policy drafts are distributed to each committee member for review and comment..
- Committee members should return the policy drafts to the project coordinator, who reviews the members' comments and modifies the drafts and distributes the second drafts of the policy statements to the committee members for further review. The second draft should be accompanied by a summary of the comments received on the first draft and an explanation from the coordinator as to how each of the comments was addressed in the second draft.
- After second drafts are returned to the project coordinator, the coordinator and committee should proceed in the same way to prepare and review a third draft, which should be close to a proposed final version of the handbook.
- The committee should submit the third draft to in-house or outside counsel to ensure that the policies comport with applicable law and, if necessary, to the company's public relations department or an outside professional writer to ensure that the policies are easily understood.
- The third draft should also be circulated to a select group of first-line supervisors for input on how it is likely to be received by employees and how comfortable the supervisors feel about their role in administering the policies in the handbook on a day-to-day basis. First-line supervisors should receive training on the contents of the handbook before it is distributed once the policies have been approved by senior executives.
- The project coordinator should prepare a final draft of the policies to submit to the policy committee members and to senior executives with approval authority.
- Upon receiving approval, the project coordinator should prepare the policy statements in final form for inclusion in the employee handbook.
- Complete the distribution of the new handbook including recalling copies of old handbooks, distributing separately to managers and supervisors along with instructions on their roles in ensuring that employees receive the new handbook and understand its provisions; distributing the handbooks to employees during an information session—small group or company-wide, depending on the size of the company— in which policies are explained and employees are given an opportunity to ask questions; and requiring employees to sign and return an acknowledgement of receipt for the handbook that should be maintained in their personnel file.

§9 Training for managers and other supervisors

Representative of the company's managerial and supervisorial groups should be consulted during the process of drafting the employee handbook to get their views on how the policies and procedures will be understood and administered on a day-to-day basis. In addition, all managers and first-line supervisors should be trained to understand the handbook's provisions and their responsibilities for policy enforcement. Managers and supervisors need to understand that adherence to policies will set an example for the workforce and that non-adherence to company policies by managers or supervisors or their failure to discipline employees in line with the policy will be seen as examples of

the company's inequitable practices.

§10 Distribution of employee handbooks

The distribution process for a new employee handbook should be conducted in a way that ensures that all employees receive a copy and that a record is created of receipt. Several steps should be taken to make the distribution process more effective. First, copies of outdated handbooks should be recalled and employees should be specifically advised to discard them. Second, the new handbook should be distributed to managers and supervisors as a separate group and they should be instructed on their roles in making sure all employees receive the new handbook and fulfill the requirements described below regarding acknowledgement of receipt. Third, employees should get the handbook during an information session—small group or company-wide, depending on the size of the company— in which policies are explained and employees are given an opportunity to ask questions. Finally, after encouraging employees to read the new handbook and providing them with sufficient time to review it, the company should require employees to sign and return an acknowledgement of receipt for the handbook that should be maintained in their personnel file. Some companies supplement the acknowledgement of receipt with a "handbook ownership form" that personalizes the handbook and encourages employees to read and use it and take care of it. A similar process should be followed whenever changes to the handbook are distributed and care should be taken at the information session to explain all of the changes to employees. Distribution of the employee handbook to new employees should occur during the employee's entry interview on his or her first day of work or in small group orientation sessions.

§11 Minimum wage and overtime pay policies

One area where companies need to exercise caution is with respect to minimum wage and overtime pay. Companies should develop and use one or more checklists that address key issues associated with wage and hour law compliance. Among other things, the checklists should facilitate a thorough review of whether or not the company is covered by the federal Fair Labor Standards Act ("FLSA"), the requirements for the exemptions from minimum wage and/or overtime pay obligations, the computation of "hours worked" and the "regular rate of pay" and, finally, recordkeeping requirements. Companies should also have a written policy relating to overtime and overtime pay. A basic policy should cover "premium" overtime pay, which applies when eligible employees work more than 40 hours in a workweek; "straight" overtime pay, which would apply when eligible employees work more than their regularly scheduled amount of hours for a workweek but not more than 40 hours; use and content of timesheets to track hours worked and information regarding administration of the overtime policy.

Several other approaches can also be taken with regard to the content and emphasis of overtime policies. For example, many companies incorporate into their policies the notion that overtime will only be assigned if supervisors are able to provide reasonable advance notice to effected employees. Companies may also provide information regarding the procedures to be followed when determining which employees will work

during overtime periods. Detail on this issue is important to allow employees to understand the circumstances under which they may be required to work overtime, as well as the factors that will be considered when employees are vying for the right to earn extra overtime pay. If appropriate, explanation of the excuses deemed acceptable for avoiding mandatory overtime can also be provided. Another side of the coin is the firm that takes a fairly strict approach to overtime, in which case the policy may emphasize that disciplinary action will be taken against employees that refuse to work overtime or fail to report when assigned. In all cases, the overtime policy should recite when overtime pay will be required as a matter of law and extra amounts that will be paid during overtime periods.

Companies should exercise a good deal of caution when setting and drafting policies and procedures with respect to overtime and there are a variety of things that should be borne in mind. For example, companies wishing to avoid overtime compensation obligations may adopt so-called "staggered work periods" such as having weekly shifts begin in one workweek and end in the following one in order to have hours that exceed the statutory straight-time workweek fall into the next workweek and thus take them out of the overtime category for the first week. If a company decides to adopt this strategy it must be clearly disclosed and described in the overtime policy since employees will normally expect to be paid at overtime rates when they work over 40 hours and failure to do that based on a staggered workweek may lead to challenges and a feeling among employees that the company is being deceptive. Other tips for overtime policies include making sure that employees realize that overtime is not a benefit or privilege and will only be awarded based on business needs and avoiding unintentional support of unreported time (e.g., giving employees the impression that in order to "get ahead" they should come in a little bit early or stay a few minutes late without expecting additional compensation). Finally, when overtime is due it should be paid since employees cannot lawfully waive their rights to overtime compensation and any effort to negotiate a side deal with employees to avoid overtime will simply set the company up for trouble in the future since such deals are invalid.

Other forms that should be prepared and used to facilitate tracking of employee activities for purposes of wage and hour laws include employee data sheets, timesheets, weekly employee work information records, overtime authorization forms and notices regarding travel and reporting to work. Finally, companies must also be sure to comply with the notice and poster requirements imposed by federal and state regulators.

§12 Sexual harassment policies

A sexual harassment policy has become a required component of federal and state regulatory compliance. As a matter of both federal and state law, employers are subject to liability for sexual harassment and other acts of discrimination of their employees by their supervisory personnel. Actionable sexual harassment can take a variety of forms, including creation of a hostile work environment, and is not limited to adverse employment actions against the affected employee such as demotion or termination. To avoid or reduce the possibility of liability, which costs larger companies significant

amounts of money each year, prudent employers should have already taken most, if not all, of the following steps to ensure their workplace remains free of sexual harassment:

- Adoption of a written sexual harassment policy and implementation of programs to ensure that the policy is effectively communicated to all supervisors and employees;
- Design and implementation of a complaint procedure to encourage reporting and full and discrete investigation of discrimination or harassment claims;
- Posting of information posters and preparation and dissemination of information sheets and pamphlets on identifying, reporting and preventing sexual harassment; and
- Offering both supervisors and employees training and educational programs focusing on prevention of sexual harassment and other forms of discrimination. In fact, California has adopted mandatory training and education requirements for supervisory employees of companies having 50 or more employees.

Training has long been recognized as a cornerstone of an effective anti-harassment program. For example, the federal Equal Employment Opportunity Commission ("EEOC") stated in 1999 that "[a]n employer should ensure that its supervisors and managers understand their responsibilities under the organization's anti-harassment policy and complaint procedure. Periodic training of those individuals can help achieve that result. Such training should explain the types of conduct that violate the employer's anti-harassment policy; the seriousness of the policy; the responsibilities of supervisors and managers when they learn of alleged harassment; and the prohibition against retaliation."[1] In light of the position taken by the EEOC, as well as court decisions and statutory requirements, employers should carefully consider taking the following steps:

- Start with an audit of the employer's current practices with respect to training and education relating to sexual harassment. The primary purpose of the audit is to determine what additional steps may be needed to enhance existing training programs.
- Establish a system for monitoring which employees must receive the training. In addition to those supervisors who have not been adequately trained in the past, training must be given to new hires and to employees promoted to supervisor responsibilities from within. The human resources department should review the job descriptions of all employees who may be deemed "supervisors" in order to be sure that the training requirements are broad enough to cover all affected persons. Ongoing reviews should be conducted on a continuous basis as job responsibilities may change in the future. When identifying "supervisors", attention should be paid to both administrative and judicial guidelines, all of which should be incorporated into the overall design of the employer's organizational structure. .
- Select the persons or entities that will provide the training. Employers may use internal or external providers for the training; however, any minimum quality standards, such as those mandated in California, must be satisfied. For example, California requires employers to select persons with both training and educational

[1] See Equal Employment Opportunity Commission, "Enforcement Guidance on Vicarious Employer Liability for Unlawful Harassment by Supervisors,"§ V.C.2 (June 18, 1999), available at http://www.eeoc.gov/policy/docs/harassment.html.

experience and practical knowledge and background in actual prevention of harassment. Not surprisingly, law firms and consultants have mobilized to provide training courses.

- Determine the type of training to be provided. In California, for example, live, in-person classroom training appears to be the preferred method for compliance; however, it also appears that interactive online courses can also be used. Employers should not rely on passive video courses for supervisors although this may still be a cost-effective method for training and educating other employees.
- Establish a training schedule. While California has a minimum requirement of two hours of sexual harassment training, consideration should be given to lengthening the program by an hour or so to cover other related topics such as discrimination based on race, age, and disability. The training schedule should be tight enough to ensure that all supervisors have been trained recently and that re-training occurs on a regular basis, no less frequently than every two years in the case of California, thereafter.
- Establish and maintain a tracking system as evidence that all supervisors have complied with the training requirements on a timely basis. Employers may rely on sign-in sheets as well as learning-management or data-racking systems.

Implementation of the training program should be accompanied by an overall compliance review that address all potential federal and state legal obligations imposed on employers with respect to activities that constitute sexual harassment. While specific state laws need to be consulted, employers may be required to post anti-discrimination posters, which are available from state regulatory agencies such as the California Department of Fair Employment and Housing with respect to California businesses.

A written policy statement regarding sexual harassment should be prepared and adopted by the board of directors and made generally available to all employees. A comprehensive policy would include a definition of “sexual harassment” that includes examples of what might constitute legally proscribed actions; a prohibition on retaliation against employees that assert a claim of harassment; a statement of intent to distribute the policy and provide support for the goals of the policy through educational programs and employee training; and a brief description of the procedures for reporting sexual harassments and the steps that the company is expected to take in responding to such reports. In addition, companies should prepare additional materials for employees regarding sexual harassment, including information sheets or brief pamphlets or brochures that explain what actions might be prohibited, the steps that can be taken by employees to promote investigation of potentially unlawful behavior and the remedies available to persons subjected to unlawful sexual harassment. Companies may use a short-form policy that provides employees with highlights of the key issues and points them to more detailed procedures available from the human resources department or through the company intranet. Many companies combine their policies and procedures relating to harassment and discrimination cases in a single document. Other useful tools include a notice to employees regarding the key terms of a company's sexual harassment policy and detailed policies and procedures describing how complaints can be filed and the steps that the company commits to take when a complaint is filed.

§13 E-communications policies and procedures

Companies of all sizes must design, implement and follow effective policies and procedures relating to electronic communications (referred to herein as "e-communications"). In the past, companies have traditionally focused on long-standing Internet activities such as email, downloading, Web surfing and participation in user groups using company machines and identifiers. However, as new technologies and communications devices emerge, necessary changes to e-communications policies must be continuously considered. For example, many businesses now communicate with vendors, customers and other business partners through instant messaging ("IM"). IM is an attractive and easy-to-use communications tool that operates at real-time speeds, much quicker than email, and uses less bandwidth and storage capacity. Many companies have no idea how common IM usage is among the members of their workforce and are surprised to find that over half of their employees are relying on IM to keep in touch with business partners and conduct personal discussions with co-workers, family and friends.

The popularity of new technologies such as IM is an important reason why companies should regularly conduct a review of their current practices and procedures with respect to e-communications. This review can be conducted using internal resources, or the company can engage an outside consultant who can conduct an independent evaluation and also provide the company with information on new technologies and practices available for updating the company's procedures. When conducting the review, representatives from all interested business functions should be included, such as information technology, human resources, compliance and records management. While the review protocol is often complex and involves a large number of specific issues and considerations, there are certain basic questions that need to be answered and explained in detail to senior management.

§14 —E-communications policy

The first, and most basic, question for the company is does it even have a written e-communications policy in place; and, if so, how frequently and consistently is the policy enforced and reinforced to employees as an essential element of the job responsibilities? A well-written e-communications policy should define the types of communications that are to be regulated, describe acceptable and unauthorized uses of e-communications tools, inform employees of the company's policies and procedures with respect to monitoring use of e-communications services and specify the sanctions that may be imposed in the event the policy is violated. More comprehensive policies will define in detail the proper use and misuse of email services and inform employees about their legal responsibilities with respect to sending and retaining email messages.

Among other things, an email policy should clearly define the scope of employees' privacy expectations with respect to communications sent and received using the company's electronic equipment including the rights reserved by the company to access employees' email messages for business and legal purposes without prior notice to the employee. The email policy should also refer to the company's records retention policies

and remind employees that email message are "records" that must be preserved and may also be discovered from the company in litigation. In addition, the email policy should remind employees about the risks associated with the use of email include the possibility that confidential information sent via email will be circulated outside the company. The email policy should also cover personal use of the email system and include warnings to employees not to use the email system for harassing, discriminating or other illegal activities. Finally, the policy should include specific language that puts employees on notice that the employer retains the right to audit, inspect and monitor the employee's email communications. Courts have noted that if the government can demonstrate the employee email account holder waived [his/her] expectation of privacy in relation to the employer and/or intermediary (e.g., ISP), the government should then be able to compel disclosure of the employee's emails solely by providing notice to the employer/intermediary.

When drafting a policy, counsel should take into account the following potential benefits and advantages to the company:

- The policy can be used to educate employees regarding effective and legal use of the company's electronic communications tools. As a result, the company enhances the efficient use of its resources and protects itself against employee conduct that can lead to litigation and corresponding damage to the company's reputation.
- The policy should discourage improper use of e-communications tools, particularly email, which may lead to litigation. In addition, the policy should increase employee sensitivity to important issues with respect to security and confidentiality of business records.
- The policy can be an effective tool in litigation with a current or former employee alleging that the company invaded the person's privacy rights.

The policy should be accompanied by a brief summary of the most important cautionary messages to employees regarding the risks and responsibilities associated with using the corporate email system. In addition, when the policy is disseminated, which should occur regularly (e.g., no less frequently than annually), the company should also provide employees with a transmittal letter or memorandum that highlights the main elements of the policy and includes references to specific text regarding an issue in the policy.

Needless to say, it does the company absolutely no good to have an e-communications policy if it is not enforced by company managers and employees are allowed to ignore it at will. Failure to regularly and rigorously enforce the policy can be used against the company in situations where it is seeking to discipline an employee for actions that contravene the policy. Moreover, if the company is lax with respect to enforcing rules against the use of e-communications tools to engage in activities that might constitute harassment of another employee, the victim may have a cause of action against the company. As part of its enforcement efforts, the company must demonstrate that it has properly notified all employees of the existence of the policy and that all employees have acknowledged that they have been properly notified and have had an opportunity to review the terms of the policy. In general, simply sending a notice to employees will not

be sufficient, and companies should create a formal record for each employee, preferably a signed acknowledgement that is included in the employee's personnel file. In addition, consideration should be given to regularly publishing the policy at the time employees log on to the system and requiring that they re-affirm knowledge of the existence of the policy. Finally, audit, inspection and monitoring rights should actually be exercised by the employer, and such exercise should be readily apparent to employees, in order to bolster any later argument that the employee's expectations of privacy have been waived.

Of course, while the company should hope and expect that all employees will comply with the requirements of the e-communications policies, consideration should always be given to implementing technology solutions that will foil attempts by employees to take actions in violation of the policy. For example, many companies seek to control corporate access to public IM systems and will supplement language in their policies by standardizing on a single IM client for use within the corporate network and configuring the corporate firewall to block prohibited IM clients.

§15 —Regulatory compliance requirements

The company should consider its level of compliance with all relevant statutory and regulatory requirements pertaining to preservation of e-communications records. Depending on the size and business activities of the company, a number of laws and regulations may apply to use, storage and retention of data and information created in the course of e-communications. A representative set of examples includes the following:

- Securities Exchange Commission ("SEC") Rules 17a-3 and 17a-4 describe stringent requirements imposed on securities firms with respect to record keeping requirements regarding purchase and sale documents, customer records, associated persons' records, customer complaint records and written supervisory procedures.
- The federal Gramm-Leach-Bliley Act, which applies to "financial institutions" such as banks, credit unions, collection agencies, credit bureaus, check cashing companies, credit counseling organizations, brokers, tax planning and preparation companies, retailers that issue their own credit cards, auto dealers that lease and/or finance, companies that sell money orders and/or travelers checks, investment companies, investment advisors, and insurance companies, mandates establishment of procedures to preserve the privacy of confidential information obtained regarding customers. Similar requirements are imposed under other laws, such as HIPAA, relating to protection of confidential health-related information of consumers.
- The federal Sarbanes-Oxley Act of 2002, applicable to all public companies, mandates the retention of documents used for financial audits and reporting and establishes criminal penalties in the event that companies intentionally fail to preserve documents and communications that are, or may one day be, required in litigation. As part of their internal controls, public companies must establish centralized control of these records (on an automated system if at all possible) and conduct regular tests that allow management to identify weaknesses in the systems.
- Rules administered by the Financial Industry Regulatory ("FINRA") require that securities firms must "supervise" the activities of their representatives, including

monitoring incoming and outgoing email communications. Among other things, securities firms must establish procedures for collecting and retaining any correspondence of their registered representatives relating to their investment banking or securities businesses.

A plethora of vendors are available to companies seeking customized solutions with respect to specific regulatory regimes. For example, securities firms can choose among a number of providers that offer technology and software applications designed to collect and preserve the information required by the SEC and FINRA.

§16 —Retention and preservation of e-communications records

Consideration must be given to the policies and practices of the company, and its employees in particular, with respect to retention and preservation of records of e-communications, including email messages and records of IM communications. Since communications are created by employees, the first step is identifying what practices and procedures they currently follow with respect to saving records of e-communications. Optimally, all of these records will be retained on corporate servers and in formal backup systems; however, many companies leave preservation of email records to individual employees. Employees may use a variety of methods for preserving records of electronic communications, including manually saving the records into their local PST folder, manually filing the records on to special record retention folders, or simply printing out and filing "paper copies" of the communications that they wish to retain. If the current methods are not satisfactory, and management believes that important records are not being retained or will not be available for easy access, more sophisticated technology may need to be deployed to take the discretion out of the hands of employees and/or further training should be ordered.

The e-communications policy should describe the types of records that should be retained by employees. Given the volumes of data and information that can now be created and transferred using email and the like, selection of the material to be preserved becomes an important consideration given the time and effort that employees will need to expend in saving and organizing the records. Obviously, the requirements of relevant laws and regulations must be understood and honored; however, beyond this threshold, the guiding principle should be that data should be discarded unless there is a good business reason for retention. Among other things, good business reasons include maintaining records of pending and completed business transactions, subject to the company's policies with respect to the appropriate retention period, and making sure that data is preserved if it is potentially relevant to any foreseeable litigation.

The company must then investigate its policies and procedures with respect to retention and deletion of records of e-communications. Many companies simply delete these records after a specified period of time, such as 30, 60, or 90 days; however, the better practice is to have a formal policy that ensures that different types of records will have appropriate retention periods and that such records will not, under any circumstances, be deleted unless and until the applicable retention period has expired. Disposition policies

should simultaneously honor relevant regulatory requirements relating to retention of information while also providing the company with the opportunity to dispose of outdated information that might be used against the company. Information stored on disk should be handled carefully since there are ways to recover files even after they have been deleted.

Preservation is one often overlooked issue during the retention period. The company should be sure that they regularly back up data to offline storage media and that they will be able to read that media using the systems that may be in place at the time that it is necessary to retrieve the data. All this means that retention policies must include procedures to ensure that archives remain accessible as technology progresses during lengthy retention periods. In addition, archived data should be treated with the highest level of security for a number of reasons. For example, in those cases where the data include private and personal information of consumers, strict security measures should be implemented to limit access to the data and to create a record that can be audited to demonstrate that the security measures have been followed without exception.

Finally, preservation of records may be of little value during litigation or a regulatory investigation if the company is not able to demonstrate that the records do not contain data that has been altered. Accordingly, the company must implement authentication procedures to avoid increased scrutiny in the eyes of regulators and the general business community. For example, consideration should be given to using "digital signatures," which is a form of encryption technology that can be used to show that an electronic file has not been changed since the date of the particular event of interest with respect to the record.

Many companies have comprehensive records retention policies and procedures that include extensive guidelines for various classes of documents and correspondence. At a minimum, however, the company should develop and publish a policy statement that identifies the business records that should be retained and the minimum retention period for each class of records. Different guidelines will apply depending on the type of record and any applicable regulatory requirements. For example, public companies will need to preserve accounting and other financial records for a specified period of time in order to comply with the requirements established under the Sarbanes-Oxley Act of 2002. Similarly, financial services companies will need to ensure that their record retention policies satisfy the minimum standards promulgated by the SEC and/or the FINRA.

§17 —Management of e-communications in the face of litigation or investigation

As noted above, retention and management of e-communications is particular important when the company is faced with the prospect of litigation or a regulatory investigation. There are no more trying times for a document retention policy than when the company is confronted with litigation and discovery orders are being circulated. In most cases these days, computer-stored information will be at the heart of the discovery battle and will often be crucial in determining the outcome of the case. In order for the company to be responsive to discovery requests for electronic information, systems and policies must be

in place to make sure that all relevant information is retained and, just as importantly, that such information can be accessed quickly and separated from data not related to the case at hand.

Special additional steps should be taken when it becomes clear that litigation (and related discovery) may occur regarding a particular transaction: At that time, it is important to notify all company personnel who may have engaged in relevant communications relating to the transaction that requests are likely to be made for any and all electronic documents, correspondence, instant messaging records, and emails pertaining in any way to the transaction. At the same time, such persons should be directed to maintain and preserve all relevant files on all computers used by the company in their present condition and format, and steps should be taken to have all of the information in possession of such persons copied and stored. The IT and document retention groups should be instructed that, until the conclusion of the litigation, all programs that automatically delete or archive such electronic information should be disabled and all document destruction should be suspended. Also, to the extent that any responsive information or data may exist on the company's backup tapes, the company should cease any recycling of backup tapes. Counsel should send a formal communication to the appropriate senior manager detailing each of these requirements. These safeguards should be continuously communicated to all employees believed to have information relevant to the litigation until the case is completed.

§18 Internet and computer use policies and procedures

Internet technology has transformed the workplace and the same can be said for social networking. While the Internet has created significant benefits, it also carries the potential for extraordinary liability and businesses can find themselves in trouble for infringement of intellectual property rights, unfair competition, defamation, sexual harassment, wrongful termination, fraud and invasion of privacy. In addition, connecting its computer system to the Internet, or allowing dial-in access, can expose a company to computer hackers, viruses, and industrial espionage. As for social networking, companies must not only deal with distracted employees they must also take steps to fend off potential liability for defamation, harassment or discrimination, deceptive or unfair trade practices and unauthorized release of privileged and/or confidential information.

It is imperative for companies to adopt and enforce Internet use and social networking policies that cover compliance with intellectual property laws; scope of authorized use of company Internet, e-mail and social networking tools; prohibition of specific types of Internet use and content; compliance with procedures established for privileged communications and litigation; installation of unauthorized software, including encryption software; employee privacy and protections against unauthorized access; format and content of e-communications; retention of e-communications; and behavior as social networking participant.

Companies can use a variety of strategies in drafting appropriate policies. As the company begins to integrate the new technologies into the workplace, it might adopt a

simple and basic policy regarding computer use. Since a significant amount of computer usage involves e-mail, companies often provide employees with suggestions regarding the form and content of messages including business communications made through the use of email.

If liabilities arising from Internet access are a concern, the policy might focus on the specific risks associated with the Web. When the company is small and activities are somewhat informal the policy can be relatively short and focus on general "common sense" guidelines. As the company grows, however, the policy should be more comprehensive and include issues such as infringement and obscene materials.. Many firms adopt a more comprehensive policy covering all aspects of the business-related uses of the Internet as well as the company's in-house computers and networks.

While all of the issues listed above are important and generally apply to almost every type of business the policy or guidelines should always be customized to any specific requirements and risks of the particular company or firm. For example, law firm guidelines for Internet usage should reinforce the need to preserve high professional standards, particularly in situations where the user is communicating with clients and commenting in online forums where the user's affiliation with the firm is disclosed to the public..

Unauthorized copying of software programs is a widespread phenomenon in the business world. Many companies purchase one copy of a program and then make copies and distribute them to persons throughout the organization. Such practices are generally illegal and are not permitted under the terms of the license included with the original copy of the program. In order to reduce the chances of liability for unauthorized use of software programs companies should adopt a "software policy statement" which can be incorporated into agreements with employees and independent contractors.

Email and Internet access often create opportunities for some employees to conduct business outside of the company's main offices. If this is the case, consideration will need to be given to new policies and procedures regarding supervision, timekeeping, compensation, and safety for those employees who might be working at home. The company should enter into some form of agreement with each telecommuting employee that lays out the obligations and duties of each party.

Finally, users should not post the company's confidential information, or send the company's confidential information via its communications tools without first obtaining appropriate authorization. In addition, users should be cautioned against inadvertently disclosing any copyrighted materials of the company in ways that might facilitate unauthorized and uncompensated use by third parties. This may be accomplished through the development of a company policy on the use of copyrighted materials.

§19 Social media policies and procedures

The term "social media" refers to the dissemination of information through social

interaction that is enabled by web-based technologies that have facilitated and creation and explosive growth of social media sites such as Facebook, LinkedIn, You-Tube, Twitter and others that are being launched daily around the world.[2] When this technology first appeared users shared their content from their computers; however, social media applications now make it possible for users to share information using their cell phones, which means that information about anything can be posted from anywhere, and at any time, by anyone with a mobile device. Social media use is no longer a novelty and has been embraced by companies of all types, including firms that made their names as traditional news organizations, and celebrities. It is now possible for anyone to directly reach a group of "followers" (i.e., other people who have agreed to receive information from the sender) without delay or intervention by an outside party.

Companies should expect that their employees will be using some form of social media for personal or business reason and will also be asking their employees to engaging in social networking on behalf of their products and services. Such activities carry both opportunities and risks for companies and it is important for companies to understand all of the potential legal liabilities that they may become subject to due to the action of their employees. In order to mitigate these potential liabilities, companies should consider drafting and disseminating a proclamation of an institutional philosophy regarding the use of social media which can serve as the foundation for more detailed rules and guidelines on use of social media and participation in social media networks and as an introduction to employee training programs on the use of social media.. Companies should also draft a policy that focuses on employee responsibilities as a participant in social media networks as part of their activities on behalf of the company. The contents of this form can be integrated with desired provisions from the online social media principles such as the duties and responsibilities of persons acting as company spokespersons in social media networks. Finally companies should prepare internal policies and procedures to be followed by departments and other formal groups within a company if they wish to create a presence on one of several listed social media sites and basic guidelines for employees to follow when acting as a spokesperson for the company on a social media site.

§20 Equal employment opportunity policies

One of the most common, and important, purposes of an employee handbook is to lay out the company's duties and responsibilities with respect to compliance with federal and state equal employment opportunity ("EEO") laws and regulations, which apply across a wide range of employment-related activities including recruitment and hiring, discrimination and harassment and discipline and termination. In general, the laws prohibit employers from discriminating in job-related decisions against members of certain protected groups identified and defined by statute and explanatory case law. For example, employers may not discriminate against employees or job applicants on the basis of race, religion, color, sex, age, national origin, handicap, veteran or family status, or any other status or condition protected by applicable state or federal laws, except

[2] E. McNamee and K. Magyar, "Are You Building a House of Cards?: Social Networking in the Office", ACC Docket, September 2010, 29–36

where a bona fide occupational qualification applies.

Every company should have policies that deal with providing equal employment opportunities to persons within protected classes. This begins with including an "equal employment opportunity" statement in the employee handbook. Such a statement is required of all federal contractors; however, all employers should adopt one since it can aid an employer's defense in discrimination claims and communicate that the organization is aware of its EEO obligations and committed to providing equal employment opportunities for everyone. Before composing a statement, the fair employment practices laws in any states where the company conducts business should be checked since state laws often have "protected classes" provisions that are broader than federal law. It should be noted that some attorneys advise against including an EEO statement on the grounds that it is an unnecessary restatement of what is already the law and that an additional statement might be used by employees to argue for rights that are broader than those mandated by law; however, courts have found that such statements are typically too vague to constitute contractual promises. In addition, companies generally have a separate policies regarding employees with disabilities and compliance with the Americans with Disabilities Act and policies prohibiting harassment/discrimination and establishing procedures for reporting and investigating claims of harassment or discrimination.

§21 --Americans with Disabilities Act

The federal Americans with Disabilities Act ("ADA") is a broadly written law that prohibits discriminatory employment practices against applicants and employees who have a mental or physical disability. Generally, the ADA applies only to employers with 15 or more employees; however, in counting the number of employees consideration must be given to both the current number of employees and the number of employees in preceding years. Individuals are protected under the ADA if they are qualified to do the job in question, which means that they must have the requisite qualifications to do the job and can perform the essential functions of the job (in necessary, with reasonable accommodation); and they have a "disability," which includes any physical or mental impairment that substantially limits a major life activity. Employers covered by the ADA should be mindful that recent amendments have significantly expanded the scope of employees who may be eligible to claim ADA protections. The ADA does not actually mandate a written policy on how a company will handle situations in which employees request reasonable accommodation of an alleged disability; however, companies should adopt and follow policies for ADA compliance that include a statement of intent to fulfill the statutory requirements and instructions to employees as to the steps they can take in order to request an accommodations to perform the essential functions of a job.

§22 Citizenship and immigration status verification procedures

Companies are required to verify the citizenship status of new employees. While there is no legal requirement for an express written policy on how the company handles the verification process, companies often have adopt a simple policy that tracks the

requirements of the federal Immigration Reform and Control Act, which essentially states that every individual a company hires has to show suitable documentation of the right to work in the United States either because of citizenship or legal immigrant status. Since companies are prohibited from discrimination on the basis of nationality, they cannot have one standard of verification for employees who appear to be of one nationality and another policy for everyone else.

§23 Leaves of absence policies and procedures

General leaves of absence are another area where the company is not expressly required to have a written policy; however, companies typically create policies regarding "time off", holidays and vacations and leaves of absence for specified reasons. One important area to consider is the application of the federal Family and Medical Leave Act ("FMLA"), which requires covered employers to provide eligible individuals with up to 12 workweeks of unpaid leave per year for the birth, adoption, or foster care placement of a child; or serious health conditions of employees or their children, spouse, or parents. In addition, the FMLA includes two military family lead entitlements—the military caregiver leave and the qualifying exigency leave. Covered employers must give information to employees about their rights under the FMLA, post various notices including prescribed information, and include information about the FMLA in their personnel handbook. For example, employees should be given a general statement of their rights under the FMLA, which may be taken from the language included in a poster prescribed under the regulations promulgated by the federal Department of Labor.. A description of family and medical leave rights should also be included in the personnel handbook.

Federal law also requires employers to grant military leaves of absence and rehire individuals who have taken such leaves. While there is no express requirement for a written policy on military leave or rehiring veterans, such policies have become much more relevant and common in light of recent events so that management, which may be asked to grant leaves for military purposes, and employees, who may have to request them, both understand the ground rules.

Another issue in this area is the legality of the so-called no-fault absentee policies. These policies generally state that the employee is subject to discipline and possibly discharge if the employee is absent for a certain number of days and for certain periods on a "no-fault" basis. In other words, the reason for the absences makes no difference. Unfortunately, the law does not contain any exception for a no-fault absentee policy, so these policies have to be reviewed critically and administered very carefully if they are used under circumstances where the FMLA applies or where the reason for the leave is pregnancy. The ADA is also a complicating factor.

While federal law does not require an express policy regarding paying or not paying employees who are absent due to jury duty, there are often state laws on the subject and it may therefore be helpful to have some policies on exactly how the company will handle the issue of employees taking time off for jury duty, particularly policies setting forth the

requirements that may be relevant to a particular location.

§24 "On the job" policies

Certain topics do not fit easily into any other categories; however, they do represent important elements of an employee's "on the job" experience. For example, the human resource department may promulgate a brief description of the steps that will be taken to complete regular performance evaluations for employees and will also create standardized forms for collecting information and assessing performance. Corrective actions are part of a company's discipline policies and procedures. Policies on creation and destruction of personnel records, including the contents of those records, should be developed as part of the company's overall records retention policy. Finally, many companies unknowingly drift into an unwritten pattern of payment practices to terminated employees and the better approach is to develop and publish a clear set of guidelines with respect to severance pay so that is it clear when severance payments will be made and how the amount of the payments will be computed. This is particularly important when the company finds itself in a position where it needs to carry out a reduction in force and eliminate the positions of a large number of employees. A formal severance policy can also be useful in negotiating settlements and releases with employees who are being terminated under circumstances that might lead to a wrongful termination suit unless the employees leaves with a reasonable severance package.

§25 Employee privacy policies

Privacy has been an important issues in many areas of society and the respective rights of employers and employees in the workplace should be addressed through policies on employee privacy covering situations such as searching employees' lockers or desks when drug abuse or theft is suspected, monitoring employees' e-mail or reading their computer files, and listening to employees' voice mail. Employee privacy policies should make it clear about the extent to which an employee may expect his or her privacy to be protected. Another sensitive area is the privacy of employee medical records. This is sometimes complicated by the fact that the company may possess personal medical records due to its administration of health care benefits, obtaining certifications for FMLA leaves of absence, or engaging in efforts to reasonably accommodate a disabled individual.

§26 Substance abuse policies

Substance abuse in the workplace has been an important issue for years. Federal statutes cover certain drug testing requirements, and the ADA expressly protects recovering drug and alcohol abusers. Accordingly, companies should consider adopting express policies on substance abuse in the workplace and, in fact, such policies are generally required for companies seeking to be federal contractors. In general, such policies are fairly short and direct: no drugs at all, no alcohol on the company premises, and no drinking on the job. These restrictions should apply not only to the company's employees but should also be distributed and applied to people coming on to the company's premises, such as visitors

and independent contractors or subcontractors who may be working in company buildings.

§27 No-solicitation policies

No-solicitation policies impose restrictions on employees from soliciting other employees, including soliciting for charitable contributions. Such policies are generally thought to be helpful because such activities can adversely impact worker productivity and place targets of the solicitations in awkward situations. However, care must be taken not to attempt to prevent employees from engaging in activities that may be protected by law, an issue that arises frequently when companies appear to create barriers to employees soliciting other employees to join a union, even on company time and on the company's premises.

§28 Performance evaluation programs

Many of the important decisions during the employment relationship that raise legal issues, such as promotion, discipline and termination, turn on the results of a process commonly referred to as "performance evaluation" and it is important for companies to formalize and institutional their performance evaluation procedures. The main functions of a performance evaluation program should include measuring how employees are currently fulfilling their job duties and responsibilities; establishing strategies for improving the performance of employees in the future; identifying any present or future problems relating to the employee's performance; and determining whether the employee, his or her manager and the company are benefiting from the activities performed by the employee.

The first step in establishing a performance evaluation program is to create a list of the goals and objectives of the program, the information that needs to be collected and the steps that need to be taken in order to analyze the information and clearly and effectively communicate the assessment to employees. Notice of the performance evaluation process should be disseminated as a separate policy and/or as part of the company's employee handbook or personnel manual. Information is generally collected using a comprehensive performance evaluation form. The employee should also be given an opportunity to share his or her own views regarding performance and areas where the employee would like to have more support. In instances where the employee's performance has become so problematic that it raises real doubts as to whether or not the employee can continue to work for the company, the human resources department may prepare an issue a performance improvement plan that includes not only a plan for improvement but also the employee's written acknowledgement that assistance has been offered and that failure to improve may result in additional discipline including termination of employment.

§29 Safety and health policies

Workplace safety is a major concern for all companies, not only because of potential legal liability but also because of the disruption caused by the inability of trained and

skilled workers to be available to do their jobs. The policies in this area begin at the time that a new employee is hired and companies must carefully consider the circumstances under which medical examinations will be required as a condition of employment. During the term of employment attention turns to making sure employees are trained to act safely and that procedures are in place for quickly responding to accidents involving employees and/or visitors to the workplace. Companies subject to the federal Occupational Safety and Health Act, commonly referred to as "OSHA", should be sure that they have policies and procedures that satisfy minimum OSHA standards with respect to occupational safety and health compliance. Other areas of concern include the need for a "hazard communication program" that includes documents that describe the hazardous chemicals employees may come into contact with during work and what kind of hazardous chemical training programs the company has in place. Finally, workplace violence is, unfortunately, a not uncommon experience and companies need to have procedures in place to screen for potential problems with new employees, monitor situations in the workplace that might escalate to the point where someone is in danger, and train employees to recognize and respond to potential problems.

§30 Environmental compliance policies

All companies are subject to some minimum level of regulation regarding the environmental consequences of their business activities and/or the properties and other assets used in their business. Many companies have promulgated basic statements of their intent to comply with applicable laws and regulations and act as a good environmental citizen without any specifics. For companies required to invest substantial resources to comply with particular environmental laws it makes sense to form an environmental compliance committee and develop and publish a lengthier policy that details the procedures that the company will be using to comply with environmental laws and the duties and responsibilities of employees to assist in such compliance efforts.

§31 Benefits packages and policies

An employee handbook provides an opportunity for employers to describe, organize and showcase their benefits package, including non-ERISA benefits which do not require a formal plan summary. Although, theoretically, the handbook could include the plan summary, doing so would be very cumbersome in most situations and therefore is rarely advised. Rather, what is advised is referring to the plan summary in the handbook with a statement that the when the handbook and summary are in conflict, the summary will control.

§32 Employment reference policies

Employees are always interested in what their employer might say to prospective employers about their performance and/or the reasons for termination of the employment relationship. Many companies have elected to adopt formal, but simple, policies regarding employment references that make it clear that they will not give references,

good or bad, and will limit the information provided to prospective employers to confirmation that the person was employed by the company and verification of the dates of employment. While employers may be willing to provide good references for deserving employees who left the company on good terms, stepping away from any possibility of commenting on the performance of former employees reduces the legal risk associated with the possible application of the theory of "forced publication", which may occur when an employee who was discharged for alleged improper conduct goes for an interview with a potential employer and feels compelled to disclose the reason for termination because, if the previous employer is questioned, the information would be disclosed anyway. In that scenario, even though the disclosure of the alleged wrongful conduct is made by the employee himself or herself, the disclosure is "forced" because of the possibility that the previous employer will disclose it if the employee does not and the result would be the same as the previous employer disclosing the information first and, thus, yielding a possible libel and slander claim. A complicating factor in all this is that there are some cases holding that companies may have a duty to warn subsequent employers of violent or dangerous propensities of employees that have been discharged and this may override a strict no-reference policy in some instances. Other companies do permit employees to request references while reserving the right to deny requests. The form and content of permitted references is typically tightly regulated and will be limited to objective measures of performance and descriptions of duties and responsibilities.

§33 Standards of conduct

Many companies compile and publish a list of guidelines for employees with respect to certain activities and types of conduct typically found in the workplace including attendance and punctuality; personal appearance; drug- and smoke-free workplace; substance abuse; gifts, conflicts of interest and other ethical matters; protection of confidential information; and solicitations and distribution of literature. Some of these areas might be covered in detail in other policies. For example, as noted elsewhere in this chapter, protection of confidential information is obviously the primary objective of a trade secret protection program and such a program generally includes one or more policies regarding disclosure of trade secrets to third parties, physical security measures and the use of written non-disclosure agreements.

Drafting policies for the various topics listed above is not always an easy matter. For example, policies on workplace dress and appearance have generated a significant amount of controversy and litigation. Companies often attempt to dictate hairstyles and dress in order to project a certain corporate image or to keep from offending customers or clients; however, there is a real danger that carelessly written policies may implicate ethnic, religious, and national origin beliefs and suggest that the company discriminates against people whose beliefs or customs may not be aligned with what senior management feels is "appropriate" in the workplace.

Policies regarding standards of conduct may also extend to off-duty conduct, including moonlighting. Many companies want to reserve the right to discipline, even terminate, employees who engage in inappropriate conduct off company time and off company

premises. For example, companies will generally want to be able to sever ties with employees who are written up in the newspaper after they have been arrested for domestic violence, theft or other similar types of serious misconduct. Moonlighting—having a second job—is not a crime; however, many companies are justifiably concerned that employees working another job will be too tired to perform their duties effectively or will be unavailable to work at certain times because of conflicts with the employee's schedule with his or her other job. Companies should not ban moonlighting entirely, a restriction that would be difficult to enforce, but can and should require that employees not take on other employment that interferes with their performance and/or the work hours required for them to fulfill their duties.

§34 Intellectual property and confidential information policies and procedures

All companies should have at least basic policies and procedures, including appropriate employee agreements, relating to ownership of intellectual property developed and/or used in the course of the employee's activities and prohibitions on employee use of company trade secrets to compete with the company or disclosure of those trade secrets to any outside person. Policies regarding trade secrets should be tailored to address the specific types of information that are relevant for the company's particular line of business. Policies should require that employees enter into assignment of inventions and copyrights and non-disclosure agreements with the company at the time of hiring and many companies also include non-competition covenants that will extend beyond termination of employment to the extent permitted by applicable state law. Other issues should be covered in interviews with new employees at the time they start their employment including questions about agreements with prior employers and making sure that new employees do not intend to bring any proprietary information belonging to another company to their new job.

§35 Legal and ethical conduct policies

Policies regarding legal and ethical conduct can be extensive and cover a wide array of issues and situations. Many companies introduce their policies on legal and ethical conduct with a statement of core values and instructions for employees on how to seek guidance on compliance with the policies and how to report suspected violations of the policies. Companies generally admonish their employees to comply with applicable laws and regulations pertaining to fair competition, anti-corruption, gifts and hospitality, investigations and inspections, trade controls, lobbying and purchasing decisions and practices. Other topics often covered in business conduct policies include insider information and securities trading, in the case of public companies; human rights; political activities and contributions; product safety and quality; sustainability; diversity; financing integrity; and conflicts of interest. Business conduct and compliance programs are often outlined in detailed handbooks outside of the main employee handbook and should be supported by training sessions and subject matter specialists who are available to answer questions.

§36 Arbitration of employment disputes

While every effort should be made to forge good relations with employees, it is inevitable that disputes will arise and it is common for companies to include policies regarding alternative dispute resolution and arbitration of employment disputes in their employee handbooks. Companies often lay down guidelines to be followed by employees in resolving disputes relating to the employment relationship including escalation of grievances, mediation and arbitration. Most forms of alternative dispute resolution are not heavily litigated; however, this is not the case when it comes to a mandatory arbitration clause that many companies include in their employment contracts, handbooks, and applications. The typical clause covers all disputes arising from employment or termination and permits binding arbitration as the employee's only recourse in such a dispute. Generally, employers can compel arbitration of all employment disputes, although the federal Equal Employment Opportunity Commission maintains that mandatory arbitration policies for employment disputes are inconsistent with the principles manifested in the federal employment discrimination statutes.

§37 Changing employee handbooks and policies

In general, employers may change their employee handbooks and policies to suit the evolving needs of their business and, of course, changes should always be made to take into account new developments with respect to applicable laws and regulations. In fact, it is important for the employer to explicitly reserve the right to make changes in its handbook and in each of the individual employment policies. Once a decision is made to change the employee handbook or an employee policy, employers should make sure the changes are legal; prepare the new policy in writing and add it to the handbook; announce the new policy and distribute a new handbook and summary of its terms to all employees; distribute a statement that says by choosing to remain employed, employees are deemed to have agreed to the new policy; have employees sign an acknowledgement that they received the new handbook, summary and statement and that they have read the new policy provisions, understand them and agree to follow them; and, if necessary, ensure that employees' religious beliefs and disabilities are accommodated with respect to the implementation of the new policy.

The best course of action for ensuring that employees will be bound by the changes is to have them agree to the changes in writing; however, if that is not possible, or there are concerns that employees may balk at voluntarily signing an agreement, the changes should be carried out using the aforementioned steps. Employees should be advised though that absent a formal agreement, employees may not be forced to comply with certain restrictive rules, such as arbitration policies that are held to be invalid on the grounds that they are unfair to employees. If employees do not sign the acknowledgement referred to above, a remainder note should be sent. If an employee is still unwilling to sign, a final notice should be sent saying that the policy will become effective on a specific date and that employees who continue to work after that date will be considered to have accepted the policy. A copy of the reminder note and final notice should be placed in the employee's personnel file.

As noted above, before adopting a new policy employers must be sure that it will be "legal", which means it does not violate a contract, discriminate against protected individuals, violate any law (i.e., the policy must meet or exceed the minimum legal requirements that apply to the organization, such as requirements relating to mandatory leaves, overtime etc.), or cause employees to lose benefits (e.g., floating holidays, vacation days, bonuses or commissions) that they have already earned. As for contracts, consideration must be given to any employment contracts that have been entered into with various employees that promise them specific benefits for a specific period of time. In that situation, employers may not take any action that adversely impacts the promised benefits unless the employer has reserved the right to change benefits or modify the contract's terms, the employee agrees to the change or the contract expires.

Once the employer has determined that the proposed new policy is legal, it should be set out in writing, a process that will force the employer to think through any potential implementation problems and allow for review by appropriate personnel, including legal advisors. Once the wording has been finalized, the policy should be added to the employee handbook and the revised handbook should be distributed to all employees at the same time that an announcement of the change is made. If a new policy may be difficult to understand, it makes sense to prepare and distribute a statement to employees that summarizes the key provisions of the policy; however, the summary should make it clear that the policy, not the summary, will apply to employees. In addition, if possible, the new policy and updated handbook should be distributed to before the policy takes effect, thereby creating a window of time to train supervisors and give employees an opportunity to read the policy and ask for clarifications. An accurate record should be created and maintained of the dates that new handbooks are distributed and the names of all employees who received them.

Careful attention to the above-described procedures when make changes to the employee handbook to avoid claims for wrongful discharge based on the argument that the changes were not binding on the terminated employee and that his or her employment relationship was actually governed by an earlier version. Case law relating to the effectiveness of changes to employee handbooks demands that revisions must be clear and plain, meaning that the nature, significance and consequences of the changes must be spelled out simply enough that employees can understand the changes; that the changes must be communicated to the workforce, preferably using the same procedures followed for introducing the handbook in the first place and culminating in the explicit written acknowledgement of the changes by employees; and that there must be adequate consideration for the modification, which can be something as simple as continuing to work under the revised handbook or something more substantial such as a raise or promotion. Particular caution should be used by employers when the changes impact procedures relating to discipline and/or termination, such as modifying the rules to convert from a just cause or progressive discipline procedure to an at-will scheme. In addition, courts in some states will balk at the sufficiency of mere continued employment and an acknowledgment of the changes as being sufficient consideration and in those instances it is important for the employer to demonstrate that employees have received some additional benefit beyond job retention. While the intent may be to make changes

to one particular section of the handbook it is important to review the entire handbook for consistency to avoid contradictions (e.g., declarations of “at-will” employment in one section along with promises of maximum job security or a multi-step disciplinary procedure in another section).

About the Author

This Work was written by Alan S. Gutterman, whose prolific output of practical guidance and tools for legal and financial professionals, managers, entrepreneurs, and investors has made him one of the best-selling individual authors in the global legal publishing marketplace. Alan has authored or edited over 300 book-length works on entrepreneurship, business law and transactions, sustainability, impact investment, business and human rights and corporate social responsibility, civil and human rights of older persons, and international business for several publishers including Thomson Reuters, Practical Law, Kluwer, Aspatore, Oxford, Quorum, ABA Press, Aspen, Sweet & Maxwell, Euromoney, Business Expert Press, Harvard Business Publishing, CCH, and BNA. His cornerstone work, *Business Transactions Solution*, is an online-only product available and featured on Thomson Reuters' Westlaw, the world's largest legal content platform, which covers the entire lifecycle of a business. Alan has extensive experience as a partner and senior counsel with internationally recognized law firms counseling small and large business enterprises in the areas of general corporate and securities matters, venture capital, mergers and acquisitions, international law and transactions, strategic business alliances, technology transfers and intellectual property, and has also held senior management positions with several technology-based businesses including service as the chief legal officer of a leading international distributor of IT products headquartered in Silicon Valley and as the chief operating officer of an emerging broadband media company. He has been an adjunct faculty member at several colleges and universities, including Berkeley Law, Golden Gate University, Hastings College of Law, Santa Clara University and the University of San Francisco, teaching classes on corporate finance, venture capital, corporate governance, Japanese business law and law and economic development. He has also launched and oversees projects relating to promoting the civil and human rights of older persons and a human rights-based approach to entrepreneurship. He received his A.B., M.B.A., and J.D. from the University of California at Berkeley, a D.B.A. from Golden Gate University, and a Ph.D. from the University of Cambridge, and he is also a Credentialed Professional Gerontologist (CPG). For more information about Alan and his activities, please contact him directly at alangutterman@gmail.com, follow him on LinkedIn, and visit his personal website to view a comprehensive listing of his works and subscribe to receive updates. Many of Alan's research papers and other publications are also available through SSRN and Google Scholar.

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